Danske Bank | Equity research: Own Analysis | Oct. 4, 2026 | Gabriel Baker

Recommendation	**BUY**
Target price	DKK 397.6
Share price	DKK 367.8
Upside / dividend yield / total return	+8.1 % / + 5.7 % / +13.8 %
Market cap	Approx. DKK 297.0 bn

Main findings

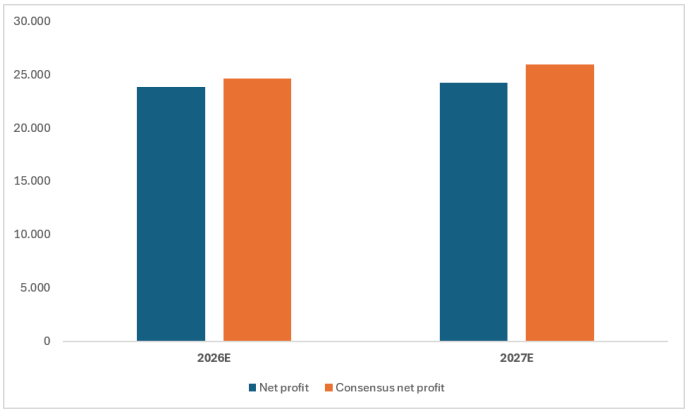
1. **Strong capital return**: approx. 110.0 % total payout in 2026 (70.0 % ordinary + 5.0 bn extraordinary dividend + 4.5 bn buyback), a dividend yield of 5.7 %, CET1 managed down to 16.0 % target by 2028.
2. **Conservative estimates support 15 % ROE.** Net profit is 6.6 % below consensus, reflecting lower rates and normalizing impairments, but ROE still holds at 15 %.
3. **Valuation does not reflect the ROE:** Fair P/B is 1.9x (ROE 14.9%, COE 9.0%) against 1.8x today.

KPIs

Earnings		**2025A**	**2026E**	**2027E**	**2028E**
Total income	DKKm	56.840	59.021	60.390	62.725
Net profit	DKKm	23.036	23.818	24.207	25.287
Consensus net profit	DKKm		24.600	25.930	
vs. consensus	%		*-3,2*	*-6,6*	
EPS	DKK	27,9	29,9	30,4	31,8
Profitability					
ROE	%	13,3	14,8	14,8	15,0
Cost/Income	%	45,5	44,7	44,5	43,7
Cost of Risk	bp	1,7	5,0	6,5	8,0
Capital and payout					
CET1 ratio	%	17,3	16,3	16,1	16,0
DPS	DKK	22,7	20,9	21,3	22,2
Valuation					
P/E	x	13,2	12,3	12,1	11,6
P/B	x	1,6	1,8	1,8	1,7
Dividend Yield	%	6,2	5,7	5,8	6,0

Earnings outlook

Net profits expected at DKK 23.8bn in 2026, within guidance of DKK 23-25bn, but 3% and 7 % below consensus in 2026-27. Lower policy rates reduce NII by DKK 1.3bn in 2027, and impairments normalize from 5 to 8bp (normalized level from Investor presentation). Fee growth of 8.6 % in 2026.

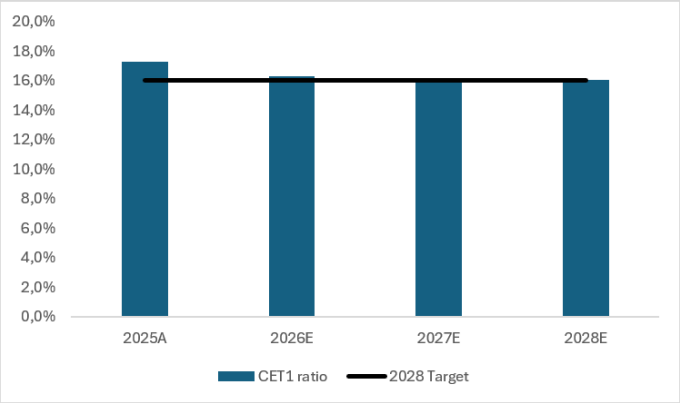


Source: Danske Bank Financial Statement, own estimates, MarketScreener.

Own analysis – not investment advice.

Capital and payout

Total payout reaches 110 % in 2026 (70 % ordinary dividend, DKK 5bn extraordinary dividend, DKK 4.5bn buyback). Buybacks reduced to DKK 1.5bn in 2027-28 to ensure CET1 target of 16 % in 2028.



Source: Danske Bank Financial Statement, own estimates.

Valuation

COE at 9.0 % in line with COE implied by the average consensus targets of 397 and below market implied 9.5 %.

$$Gordon\ P/B\ =\ (ROE-g)\ /\ (COE\ -\ g)\ =\ \mathbf{1.91}$$

$$Target\ price\ =\ 1.91 \times BVPS = \mathbf{397.6}$$

where

ROE = 14.9 %, g = 2.5 %, COE = 9.0 %, BVPS = 208.5

Sensitivity

Target prices range from 354 to 448 in the grid, compared with MarketScreener consensus target of DKK 320 – 440.

		ROE		
	Target price	14,4	14,9	15,4
COE	8,5	413,4	430,8	448,1
	9,0	381,6	**397,6**	413,7
	9,5	354,3	369,2	384,1

Scenario	**Bear**	**Base**	**Bull**
3M rate 2027 (%)	1,6	2,1	2,7
Cost of risk 2027-28 (bp)	10,0	6,5	5,0
COE (%)	10,0	9,0	9,0
Target price (DKK)	320,2	397,6	425,4
Total return (%)	-7,0%	13,8%	21,3%

Risks

1. Higher rate cuts – 25bp = -DKK 650m NII in year 1 (from Investor presentation)
2. Cost of risk has been below normal levels. Risk that normalization is faster than assumed in analysis.

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